

1.2.5 The labour market	a) Factors affecting the demand for labour: • demand for the final product (derived demand) • availability of substitutes, including machines • productivity of workforce. b) Factors affecting the supply of labour: • population size • migration • age distribution of population • retirement age • school-leaving age • female participation • skills and qualifications • ability to move geographic locations/move to different types of employment.
-------------------------	--

Subject content	What learners need to study:
	c) Importance of the quantity and quality of labour to business. d) Impact of education and training on human capital and quality of labour. e) The use of labour market diagrams showing: • supply of labour, demand for labour, market equilibrium wage and quantity of labour (employment) • effect of shifts in demand for labour and supply of labour. f) Trade union involvement in the labour market: • impact of trade union activity to improve working conditions and increase wages.